

The 6:15

THURSDAY · AUGUST 20, 2026

NO. 5

THE BOARD

CALENDAR (NEXT 10 DAYS)

Thu 8/20	Walmart (WMT) premkt — cons. EPS \$0.74, rev ~\$186.8B (not yet out as of press time); Deere (DE) premkt — cons. EPS \$4.79, rev ~\$10.78B; Ross Stores (ROST) aft. close — cons. EPS \$1.92, rev ~\$6.1B; initial jobless claims, 8:30a
Tue 8/25	Dick's Sporting Goods (DKS) premkt — cons. EPS \$3.80, rev ~\$5.64B; Intuit reports this week
Wed 8/26	Nvidia (NVDA) aft. close — rev cons. ~\$91–95B; Salesforce, CrowdStrike aft. close; July PCE price index, Q2 GDP (2nd est.), durable goods, 8:30a (BEA); Lisa Cook's deadline to answer Trump removal letter
Thu 8/27	Marvell (MRVL) aft. close; jobless claims; Jackson Hole symposium opens (Kansas City Fed, Wyoming, through 8/29)
Fri 8/28	Fed Chair Warsh's first Jackson Hole keynote
Tue 9/16	Next FOMC decision — Sept. hike odds 34.6% (CME FedWatch, Wed 8/19)

No primaries fall in this window. OPEC+ 68th JMMC not until 10/4, outside window. Rocket-launch, AI-model-release and VC-funding sub-items omitted — nothing verified this run rose to Board-worthy.

METRICS · ~6:20A ET THU 8/20

Brent (ICE front)	\$93.92, +2.51% (6:16a ET, Investing.com); Wed settle \$91.62
WTI (NYMEX, Oct26)	\$86.55, +2.56% (5:50a ET); Wed close ~\$84.39
Brent–WTI spread	\$7.37
UST 2Y/10Y/30Y	3.81% / 4.35% / 5.19% (Treasury.gov official par curve, Wed close) vs. secondary-market 10Y 4.647%/30Y 5.196% (Bloomberg, Wed close) — unreconciled
DXY	98.57, -0.27% (TradingEconomics, Thu)

S&P / Nasdaq-100 futures	7,724.25, -0.06% (5:51a ET) / 29,532.75, +0.07% (6:07a ET), delayed data
VIX	15.14, +1.68% (intraday Thu, Investing.com) vs. Wed close ~14.89 (CNBC)
Gold (spot)	\$4,489.70, -0.71% (6:17a ET, Kitco)
Nikkei 225	66,217, +1.36% (Thu close)
Hang Seng	25,471.15, +0.07% (Wed close — Thu close not confirmed this run)
DAX / FTSE / CAC	25,983.94 -0.56% / 10,723.58 -0.18% / 8,472.57 -0.35% (live, ~6:21a ET)
Retail gas, natl. avg.	\$4.1044/gal (AAA, 8/20)

Treasury's official par curve and secondary-market cash quotes have diverged by ~30bp on the 10Y for two straight issues — different measurement bases, not resolved this run.

HORMUZ COUNTERS

Closure	Day 172 (straits.live, 10:12 UTC 8/20)
Transits vs. baseline	1 vessel 8/16 vs. 73/day pre-crisis (IMF/Oxford PortWatch AIS, lag)
Corridor mix	>80% of transits, past 2 weeks, via Omani corridor (CNN, 8/19)
Iran crude exports	156kbd through 8/17, down from 893kbd in July (Kpler)
Strikes, 24–72h	2 Iranian ballistic missiles toward UAE waters, Tue eve. 8/18 (UAE MoD); chief engineer of bulker Minoan Dignity confirmed dead this week from 8/15–16 projectile strike off Oman (UKMTO/Tradewinds)
Dark tankers	50, last 24h, vs. 61.8 7-day avg. (straits.live)
War-risk premium	~\$10.0M/VLCC passage, ~40x peacetime (straits.live, set ~8/18 — stale)

PortWatch counts AIS vessel movements with a multi-day lag; Kpler nets non-Iranian Hormuz transits against Gulf of Oman exports to avoid double-counting; straits.live blends broker war-risk quotes with dark-ship detection at varying refresh rates. Cumulative shipping-strike and war-casualty totals are too disputed across US/Iranian/NGO sources to update responsibly this run — not carried forward as a number.

TRANSACTIONS

Yankees / Knicks / Northwestern	No reported roster moves in the last 24 hours (Josh Hart's extension, eligible since 8/10, still unsigned)
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UAE severs economic ties with Iran after Hormuz missile alert; Trump vows "most crushing" sanctions yet as Brent tops \$93

The UAE said Wednesday it is suspending all trade and financial transactions with Iran "until further notice" — the sharpest break yet between two historically close trading partners — after its Ministry of Defense said two Iranian ballistic missiles were fired toward UAE waters Tuesday evening, one falling short in international waters and the other landing inside UAE territorial waters. [NEW] A missile-threat alert had sounded in Dubai that evening, urging residents to shelter. Iran denied responsibility; state media called it a "false-flag operation," and no group has claimed the launch. [fact: UAE statement and MoD assessment vs. Iran's denial — neither independently verified by us]

Hours later, Trump escalated on Truth Social, promising the "most crushing economic operation" ever mounted against Iran and threatening "TREMENDOUS Economic Consequences" for any country whose banks, businesses, airports or government entities give Tehran "any type of lifeline." [NEW] It extends the administration's five-month "Operation Economic Fury" campaign of oil, shipping and financial sanctions, layered on an existing naval blockade of Iranian ports; specifics of the new measures haven't been published. Iran's FM Araghchi dismissed it as "economic terrorism" and "a diversion from America's own crisis," and state media said Tehran has already adapted to existing restrictions. [read: bravado runs both directions, but the UAE break is the first hard supply-chain fact to come out of this specific flare-up, not just rhetoric]

Oil is pricing the UAE break, not just the rhetoric. Brent is bid to \$93.92 (+2.51%) this morning against Wednesday's \$91.62 settle, and WTI's October contract has run to \$86.55 (+2.56%) — both up roughly \$2 on the session, with Brent now within range of the year's highs. [flag: no fresh settle yet this morning, real-time levels only] The mechanism: the UAE has been one of the last Gulf states still moving meaningful non-Iranian-linked volume through Hormuz, with more than 80% of transits over the past two weeks rerouted through the Omani corridor the U.S. Navy now escorts. A state actively severing financial ties with Iran raises the odds Abu Dhabi tolerates a more forceful defense of that corridor — or that Iran retaliates against it directly. [read] The relationship being severed is not trivial: annual UAE-Iran trade runs an estimated \$27-30 billion, with the UAE Iran's largest non-oil trading partner after China and its single biggest source of non-oil imports, roughly \$21.9 billion in the most recent Iranian fiscal year — a flow that had roughly quadrupled since the U.S. exited the JCPOA in 2018 (see Iran & Hormuz for detail). [NEW] Iran's own oil trade was already collapsing under sanctions that pre-date this week: Kpler puts loadings at 156,000 b/d through Aug. 17, down from 893,000 b/d in July [NEW] — a regime with progressively less left to lose from further isolation, which is its own escalation risk. Wednesday's EIA data added a domestic-supply layer under all of this: U.S. commercial crude stocks stand at 424.4 million barrels, about 2% below the five-year seasonal average, for the week ended Aug. 14, with refinery inputs up 215,000 b/d to 17.4 million b/d and gasoline stocks down 1.0 million barrels and running 6% below their own five-year average. [NEW] That's a domestic cushion already thinner than normal heading into a supply shock that has nothing to do with U.S. production.

The second-order story is what this does to a Fed that had just found its footing. Wednesday's FOMC minutes showed the July hold was closer than the 9-3 vote suggests: Cleveland's Hammack, Minneapolis's Kashkari and Dallas's Logan all dissented for a hike, and minutes quoted other participants warning that "policy tightening would likely be necessary if inflation did not decline" — a more hawkish committee than markets had priced after the July jobs miss. [NEW] Warsh also used the meeting to float cutting the Fed's calendar from eight meetings a year to six, arguing it would let more data accumulate between decisions. [NEW] CME FedWatch has September hike odds back up to 34.6% as of Wednesday, from an estimated 31-33% a week ago. A renewed oil shock landing on top of that debate — Brent up roughly \$5 in a week and a half — argues for the hawks just as Warsh prepares his first Jackson Hole keynote on Aug. 28. [DEVELOPING]

Bonds, oddly, aren't confirming the hawkish read this morning, because a separate story is dominating rates. Treasury on Wednesday doubled the size of its long-bond buyback operations, to at least \$4 billion per operation for 10-to-30-year debt, effective Sept. 9 — a liquidity move Secretary Bessent has framed as steadying a market that had pushed the 10-year to a 20-month intraday high of 4.75% on Tuesday. [NEW] The announcement did the work: secondary-market quotes had the 10-year falling roughly 6bp Wednesday and the 30-year 9bp, even as Treasury's own official par curve — a different measurement basis — puts Wednesday's close at 4.35% and 5.19% respectively, a gap of roughly 30bp on the 10-year we can't reconcile this morning. [flag: methodology divergence, unreconciled] Equity futures are essentially flat overnight (S&P -0.06%, Nasdaq +0.07%),

which reads as the market treating oil, Iran and the bond rally as offsetting each other — for now, and only until one of the three breaks.

For a rates-and-energy portfolio, the setup into today's session is a genuine cross-current rather than a clean directional call: energy is the asset class actually pricing the UAE/Iran escalation, long-duration Treasuries are rallying on a domestic liquidity story that has nothing to do with Hormuz, and equity index futures are sitting between the two waiting for one to dominate. [read] Retail earnings (see Business) complicate the picture further by mixing genuine demand strength with one-time tariff-refund noise on margins, which is exactly the kind of input the Fed said in Wednesday's minutes it doesn't yet trust enough to declare inflation solved. The next clean read on which force wins — energy-driven inflation risk or liquidity-driven yield relief — is likely the Aug. 26 PCE print, landing the same day as Nvidia's earnings and Lisa Cook's response deadline.

POLITICS

The Dec. 4/Dec. 11 gap between the House and Senate continuing-resolution versions remains open, with the House still in recess until early September and no sign either chamber has moved to close it before the Sept. 30 fiscal-year deadline it's meant to preempt. [DEVELOPING] The more market-relevant political clock now is Fed Governor Lisa Cook's: the White House's Aug. 26 deadline for her to respond to renewed mortgage-fraud removal allegations is six days out, and lands the same day as Nvidia's earnings and the July PCE/GDP data cluster — a Fed-independence question now sitting directly on top of the rate-path debate rather than beside it, not merely adjacent to it as it was when the letter first went out. Cook's attorney, Abbe Lowell, has called the allegations baseless; no new

statement from Cook or the White House surfaced this run, and it remains unclear whether a non-response by the 26th, a written rebuttal, or renewed litigation is the likeliest path.

ECONOMICS

Wednesday's FOMC minutes were the week's most consequential data point (see Lead for the vote detail and Warsh's meeting-calendar proposal). Separately, Treasury's doubled buyback program for 10-to-30-year debt drove the more immediate bond-market reaction, pulling long yields off Tuesday's multi-year highs even as the official par curve and secondary quotes diverge (see Board). That Tuesday spike wasn't cosmetic: coverage tied the 20-month-high 10-year print directly to renewed refinancing stress for commercial-real-estate borrowers, on top of bond-supply concerns and the oil-driven uncertainty already in play. [NEW, read: the buyback move reads as much like a financial-stability response as a debt-management one] CME FedWatch put September hike odds at 34.6% as of Wednesday, up modestly from last week's estimated 31-33% and well off the 82.4% peak in late July, before the July payrolls miss. Initial jobless claims for the week ended Aug. 15 are due 8:30a today; the prior week's print was 209,000 against a 199,000 four-week average, itself an 8-week high at the time. [NEW figure due this morning, not yet in hand] Today's claims print, alongside Walmart, Deere and Ross Stores results, is effectively the last full data day before next Wednesday's Nvidia/PCE/GDP cluster — the market's next real chance to reprice the September odds either direction.

BUSINESS

This week's retail earnings landed uniformly positive but complicated. Home Depot beat Tuesday (adj. EPS \$4.92 vs. \$4.73 cons.; revenue \$47.86B vs. \$47.27B; comps +1.7% vs. +0.9% expected) and held FY26 guidance. [NEW] Target's Wednesday beat was inflated by one-time items: EPS of \$4.11 included a \$1.65/share tariff-refund benefit, though management said underlying earnings were still up roughly 20% YoY excluding it; shares fell premarket before rising 4% intraday. [NEW] Lowe's EPS was flat at \$4.27 (adj. \$4.40, also carrying an \$0.11 tariff-refund benefit). TJX beat (\$1.22 vs. \$1.18 cons.) and raised FY27 guidance. [NEW] Walmart reports before the bell today (cons. EPS \$0.74, revenue ~\$186.8B) — not yet out as of press time; the bar is its own Q1 base (revenue \$177.8B, +7.3%; adj. EPS \$0.66, +8.2%) and an unchanged full-year outlook of 3.5-4.5% constant-currency sales growth and \$2.75-2.85 adjusted EPS that the company has so far declined to raise despite beating every quarter. Deere reports this morning (cons. EPS \$4.79, revenue ~\$10.78B, +4.1% YoY expected) and Ross Stores after the close (cons. EPS \$1.92, up 23.1% YoY, on revenue ~\$6.1B, +10.7% YoY). Deere's print doubles as an ag-equipment demand read against a farm economy still working through the tariff and export-demand overhang; Ross's is the discount-retail comp against Target and TJX's traffic gains this week. [NEW] Pattern across the week: tariff refunds are doing real work on reported margins, complicating any clean read on underlying consumer demand heading into the Aug. 26 PCE print.

TECHNOLOGY

Nvidia's H200 chips have begun reaching China, per reporting Wednesday — the clearest sign yet that the administration's licensing regime for lower-tier AI chips is functioning as designed, even as the

flagship Blackwell line stays restricted. [NEW] [flag: single wire report, not independently confirmed] The shipment lands a week before Nvidia's Aug. 26 earnings, where China exposure will be a direct line of questioning alongside the still-unsigned \$500B financing MOU and whatever the H200 flow implies for the China-revenue line specifically, which the company has previously guided to near zero. Model releases continued apace — Z.AI's GLM-5.3 shipped Aug. 14 and was added to third-party model gateways Wednesday — part of what's increasingly a distribution and pricing contest as much as a capability one, but nothing this week changes the competitive picture already established in prior issues. AMD's compute commitments to Anthropic and Nvidia's own financing MOU remain the two structural stories to watch once Nvidia reports; neither has moved since last issue.

GEOPOLITICS

Russia and Ukraine's grinding exchange continued without a new inflection point: Ukraine's General Staff logged 189 combat engagements Wednesday, 70 Russian air strikes and 224 guided bombs, with 352 drones destroyed or suppressed; a Russian strike on Zaporizhzhia killed one and injured six. [routine, no escalation beyond pattern] Kyiv's General Staff also put cumulative Russian personnel losses since Feb. 24, 2022 at roughly 1.47 million, including 1,190 in the past 24 hours — a figure that is Ukraine's own tally, not independently verified by us or reconciled against Russian or third-party estimates, and should be read as such. [flag: single-source, official Ukrainian count] No fresh reporting surfaced this run on the Trump-Xi Sept. 24 summit or the Kushner Gaza-ceasefire track since last issue; both remain standing items, not repeated in full here. The UAE-Iran rupture (see Lead, Iran & Hormuz) is this week's dominant geopolitical fact and effectively supersedes the slower-moving Gulf-diplomacy items carried in prior issues.

IRAN & HORMUZ

The trade relationship the UAE just suspended was, until this week, one of Iran's few remaining functioning economic lifelines: an estimated \$27-30 billion a year, with the UAE serving as Iran's largest non-oil trading partner after China and the source of roughly \$21.9 billion of Iran's non-oil imports in the most recent Iranian fiscal year (ended March 2025) — a flow that had roughly quadrupled since the U.S. withdrew from the JCPOA in 2018, largely by absorbing trade that sanctions pushed out of formal channels. [NEW] That is now suspended "until further notice." Trump separately renewed his

threat to "bomb the s--- out of" Oman if it "gets in the way" of a Hormuz shipping deal — the second such threat since May, aimed at a U.S. ally that has never been in direct conflict with Washington. [NEW] More than 80% of Strait transits over the past two weeks have run through the Omani corridor the U.S. Navy now escorts, per CNN reporting Wednesday — a routing solution Iran has consistently rejected as illegitimate. [NEW] The chief engineer of the Minoan Dignity, the Greek-managed, Liberia-flagged bulker hit by an unidentified projectile off Oman over the weekend of Aug. 15–16, has died of his injuries; UKMTO and Tradewinds confirmed the death this week, with no group claiming responsibility. [DEVELOPING] Cumulative strike and fatality counts across the wider war remain too disputed across U.S., Iranian and NGO sources to update responsibly this run — Trump has cited 52,000 killed over five months; Iran's Health Ministry and independent trackers report figures an order of magnitude lower for comparable windows. [flag: not reconciled, carried as unresolved]

SPORTS

Yankees	Beat Baltimore 5-3 (Wed 8/19). 72-55.
Knicks	Off-season, no game. Josh Hart's extension (eligible since 8/10) still unsigned.
Northwestern	Off-season, no game. Opens season Sat 9/5, home vs. South Dakota State; no starting QB named.

Continuity. Dropped as unchanged since Issue No. 4: Gemini 3.5 Pro delay, Microsoft's Maia/TSMC order status, SIA semiconductor sales record, Sudan's civil war, Bab el-Mandeb Houthi attacks, full Xi-Trump summit mechanics — no new developments confirmed this run. For next issue: watch for Walmart's actual results and today's jobless-claims print (both due after this issue closed); the 10Y official-vs-secondary yield gap remains open a second straight issue; a fresh, reconciled Hormuz cumulative-strike count is needed from a named vendor before we carry one again.

Unverified figures are marked in red. Nothing was estimated or filled from memory.